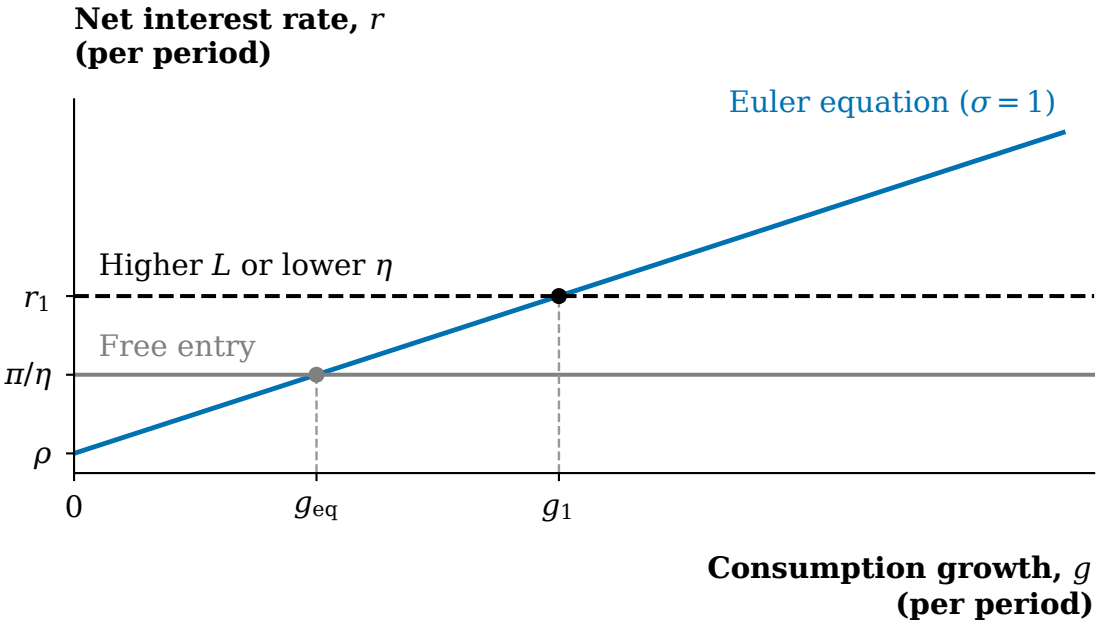
Net interest rate, r
(per period)
Euler equation ($\sigma = 1$)
Higher L or lower η
r_1
Free entry
π/η
ρ
0
g_{eq}
g_1
Consumption growth, g
(per period)